Code of Conduct

Version 3.1 | Effective 1 January 2026 | Owner: Legal and Human Resources

1. Introduction

This Code of Conduct sets out the standards of behaviour expected from every employee, intern and contractor of Kalpa Systems. It does not cover every situation. When in doubt, employees should ask themselves whether an action is legal, consistent with company values, and something they would be comfortable seeing reported publicly, and should seek guidance from their manager or the Ethics Office before acting.

2. Respect in the Workplace

Kalpa Systems is committed to a workplace where every person is treated with dignity and respect. Discrimination on the basis of gender, caste, religion, region, language, age, disability, marital status, sexual orientation or any other characteristic protected by law is prohibited in hiring, promotion, compensation, assignment of work and every other employment decision. Managers are expected to model inclusive behaviour, to make decisions based on merit and documented criteria, and to act promptly when they observe or are told about behaviour that falls short of this standard.

Harassment of any kind is not tolerated. Harassment includes unwelcome conduct, whether verbal, written, physical or online, that creates an intimidating, hostile or offensive environment. Examples include offensive jokes or slurs, repeated unwanted requests, mocking a colleague's accent or background, sharing demeaning images, and deliberately excluding a person from work activities. The intent of the person responsible is not a defence; what matters is the effect of the behaviour on the person receiving it and on the workplace.

Sexual harassment is addressed under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013. The company has constituted an Internal Committee, chaired by a senior woman employee and including an external member, to receive and inquire into complaints. A complaint may be made in writing to the Internal Committee within three months of the incident, and the committee may extend this period by a further three months where there are reasonable grounds. Inquiries are completed within ninety days and the identity of the complainant, the respondent and witnesses is kept confidential.

Respect also applies to how we disagree. Employees are encouraged to challenge ideas and decisions openly and constructively, in meetings and in writing, without attacking the person who holds a different view. Shouting, public humiliation, threats, and the misuse of authority to intimidate a colleague are treated as serious misconduct. The same standards apply to interactions with customers, vendors, candidates and visitors, and to behaviour at off-site events and on company chat channels and social media groups.

3. Conflicts of Interest

A conflict of interest arises when an employee's personal interests, relationships or activities could influence, or appear to influence, their judgement on behalf of the company. Conflicts are not always wrong in themselves, but they must always be disclosed. Employees must declare any actual or potential conflict in the HRMS disclosure form as soon as they become aware of it, and must update the declaration whenever their circumstances change.

Gifts and hospitality from vendors, customers or partners may only be accepted if they are modest, infrequent and not intended to influence a business decision. Any gift with a value above INR 2,000

must be declined or, where declining would cause offence, accepted on behalf of the company and handed over to the Ethics Office. Cash, gift cards, loans and personal discounts must never be accepted, regardless of value. Hospitality such as a business meal is acceptable when it has a clear business purpose and the employee's manager is aware of it.

Outside employment, consulting, directorships and paid advisory roles require prior written approval from the employee's manager and the HR business partner. Approval will not be given for work for a competitor, customer or vendor, or for any activity that uses company time, equipment or confidential information. Unpaid community and charitable work does not need approval as long as it does not interfere with the employee's responsibilities.

Employees must not take part in any decision about hiring, promotion, compensation or performance rating of a close relative or a person with whom they have a close personal relationship, and must not participate in selecting or managing a vendor in which they or a relative hold a financial interest. When such a situation arises, the employee must step back from the decision and inform their manager so that someone else can take it. Failure to disclose a conflict is treated more seriously than the conflict itself.

4. Information Security and Confidentiality

Employees have access to confidential information belonging to the company, its customers and its employees, including source code, product plans, pricing, customer data and personal data such as salaries and medical records. This information may only be used for the purpose for which access was granted and may only be shared with people who need it to do their jobs. Confidentiality obligations continue after an employee leaves the company.

Company information must only be stored on company-approved systems. Copying confidential information to personal email accounts, personal cloud storage, USB drives or unapproved AI tools is prohibited. Employees must use the company VPN when working outside the office, must lock their screen when stepping away, and must never share passwords or multi-factor authentication codes with anyone, including colleagues and IT staff.

Suspected security incidents, such as a lost laptop, a phishing email that was clicked, or customer data sent to the wrong recipient, must be reported to the Security team at security@kalpa.example within one hour of discovery. Early reporting allows the company to contain the impact and meet its legal obligations under data protection law. Employees will not be penalised for promptly reporting an honest mistake; concealing an incident, however, is a serious violation of this Code.

Personal data of employees and customers is handled in accordance with the Digital Personal Data Protection Act, 2023 and the company's privacy policy. Employees may only access personal data that they need for their role, must not export it outside approved systems, and must delete it when it is no longer needed for the purpose for which it was collected.

5. Reporting Violations

Employees who become aware of a possible violation of this Code, the law or company policy must report it. Reports can be made to the reporting manager, the HR business partner, the Ethics Office at ethics@kalpa.example, or the independent ethics hotline, which accepts anonymous reports. The company prohibits retaliation against anyone who raises a concern in good faith, even if the concern turns out to be unfounded.

6. Disciplinary Action

Violations of this Code may lead to disciplinary action up to and including termination of employment, and may also be reported to the authorities where the law requires it.